Reuters further disclosed that the testimony went on to state, 'It might not immediately be possible to replace these notes fully in terms of both value and volume,' but the RBI board ultimately believed that 'corrective' action could be taken and decided to recommend the move. The RBI board also believed the impact of such an exercise would be 'transitory', given its efforts to quickly replace the old notes. *The document also noted that the proposal to ban the cash had come from the government in a letter, a day before the announcement, that advised the RBI to 'immediately' put the plan before its board for approval.*

After receiving the sign-off from the RBI board and obtaining his Cabinet's approval, on 8 November, Prime Minister Modi announced demonetization in his address to the nation at 8 p.m. on the same day.

The submissions by the RBI to the PAC and the Parliamentary Finance panel, as well as the *Reuters* report, appear to contradict minister Goyal's assertion in the Parliament that it was the RBI who made the demonetization decision. Instead, it appears that the RBI and its Board of Directors were merely passive facilitators.

Where Is the Demonetization Dividend?

In the first few days following demonetization, there was the euphoric expectation, fuelled by overeager television anchors, that the exercise would flush out ₹3–4 trillion (i.e., ₹3–4 lakh crores) of black money. The belief was that black money hoarders, shocked and surprised by the move, not knowing what to do with all their 'old notes' and fearing income tax raids, would burn or drown their ill-begotten wealth.[32]

The logic was that this money would, therefore, never be returned to the banks. The difference between the notes demonetized and the notes returned to the banks would be the black money extinguished from the system. Many quickly assumed that this would be a profit that the government could appropriate to use as it wished, and this